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Ask the right question

There is a vision of black money, perhaps drawn from Hindi movies, where there are suitcases of cash that are stored. Such a problem statement leads to a certain style of attack on black money, such as demonetization.

But black money is a flow and not a stock. It is paid and received every day as part of business activities that evade taxes, bribe government employees, etc. Once we pose the problem of black money as a flow, the solutions that may be attempted change considerably. We may like to remove executive discretion, improve tax policy and tax administration, remove capital controls, etc., in the attempt to address black money as a flow. [1]

When we are ‘seized with a problem’, we are often seized with the political manifestation of a problem. The problem that seizes you is sometimes not the problem that is worth solving.

This may appear trite, but it is actually often difficult to pose the right question. The *problem* is an elephant, and we are all blind men coming at it from various directions. There is every possibility of the policy process getting hijacked into side lanes.

In the 1970s, Indian policymakers used to compare Indian textile production against that of South Korea, and claim that India was doing better because there was lower import content. While Indian textile production did indeed have a lower import content, South Korea ran far ahead in value added and exports. It would have made much more sense to focus on value added in textiles, or export of textiles.